# D 147 | Change the clause, not the contribution

PRIVATE FICTIONAL cumulative review. Fund amounts millions; separate growth example rupees. No legal opinion, actual payout, account, learner test, investment or transfer.

| | |
|---|---|
| **One cash ledger** | Commitments 60; investor pays 54 at time 0, with 45 invested and 9 fully spent fees/expenses; 6 undrawn. No GP investment, debt, recycling, tax, interim flows or NAV. Cash 70 after all costs at exactly year 4. Fees are not deducted again. |
| **Contract A** | Return 54 first, compound 6% preference on 54 for 4 years, then 100% GP catch-up to 20% of profit distributed through preference/catch-up; remaining cash 80/20. Preference 14.17375584; target catch-up 3.54343896 but only 1.82624416 available. LP 68.17375584, GP 1.82624416. |
| **Contract B counterfactual** | Deliberately exclude 9 fees from return, preference and carry bases: return 45, preference 11.8114632, catch-up 2.9528658, residual 10.235671. LP 65, GP 5. Investor still paid 54: net multiple 65/54=1.203703704, not 65/45. Not a universal expense rule. |
| **Stress before deciding** | At 90 cash under A all tiers fit: LP 82.8, GP 7.2. At 30 cash either contract gives LP 30 and GP 0; investor capital shortfall 24 even though B contractual return base shortfall is only 15. Contracts allocate available cash, not make all losses disappear. |
| **Separate reporting toy** | Beginning investor net NAV 40 + contributions 10 - distributions 8 - gross management fee 2 + applied offset .5 - external costs 1 - internal chargebacks .5 + net gains 12 - incremental accrued carry 2 = ending net NAV 49. Simplified sign bridge, not completed ILPA template or legal carry calculation. |
| **Transfer without overclaim** | Separate geo lift 150 orders, contribution 120 rupees each, spend 20000 gives -2000, not +25000 revenue profit. PSM perceptions are not observed demand; attribution is not causal lift; finite cohort contribution is not lifetime profit. Actual evidence/permission/accepted owner plan blank. |

# Inputs | Three independent numeric families

Shaded cells editable. Millions for fund/reporting; rupees for separate geo review. Contract A includes fees; B excludes them by explicit stipulation.

| | |
|---|---|
| **Fund commitments** | 60.000000 |
| **Actual investor paid-in at time 0** | 54.000000 |
| **Portfolio investment cost from paid-in** | 45.000000 |
| **Fully spent fees/expenses inside paid-in** | 9.000000 |
| **After-all-cost available cash at endpoint** | 70.000000 |
| **Annual compound preference fraction** | 0.060000 |
| **Whole years to one endpoint** | 4.000000 |
| **Carry fraction; 100% GP catch-up stipulated** | 0.200000 |

# Inputs | Three independent numeric families

Shaded cells editable. Millions for fund/reporting; rupees for separate geo review. Contract A includes fees; B excludes them by explicit stipulation.

| | |
|---|---|
| **Separate reporting beginning investor NET NAV** | 40.000000 |
| **Separate reporting contributions** | 10.000000 |
| **Separate reporting distributions** | 8.000000 |
| **Separate gross management fee** | 2.000000 |
| **Applied management-fee offset** | 0.500000 |
| **External partnership expenses** | 1.000000 |
| **Internal chargebacks** | 0.500000 |
| **Net realized/unrealized gains; signed** | 12.000000 |
| **Incremental accrued carry expense; nonnegative toy** | 2.000000 |
| **Separate geo incremental orders; signed** | 150.000000 |
| **Separate unit contribution, rupees** | 120.000000 |
| **Separate incremental spend, rupees** | 20000.000000 |
| **Fund numeric/reconciliation gate** | 1.000000 |
| **Reporting numeric gate, not source validation** | 1.000000 |
| **Separate geo numeric gate** | 1.000000 |

Numeric gates are not legal, accounting, causal or evidence validation. Reporting gain and geo incremental orders may be negative. No partial years, side letters, carry reversals, other flows, facilities, in-kind distributions or actual data modeled.

# Contract A | Cash-capped full GP catch-up

Authored conditional arithmetic. Millions except labeled ratios or separate rupee review. Not an actual entitlement, accounting statement or investment decision.

| | |
|---|---|
| **Stipulated return/preference/carry capital base** | 54.000000 |
| **Capital actually returned under this contract** | 54.000000 |
| **Cash after returned capital** | 16.000000 |
| **Compound preference target on stipulated base** | 14.173756 |
| **Preference actually paid** | 14.173756 |
| **Cash after preference** | 1.826244 |
| **Full GP catch-up target** | 3.543439 |
| **Cash-capped GP catch-up paid** | 1.826244 |
| **Remaining cash** | 0.000000 |
| **LP residual share** | 0.000000 |
| **GP residual share** | 0.000000 |
| **Total LP distribution** | 68.173756 |
| **Total GP carry distribution** | 1.826244 |
| **Cash less LP and GP, must be zero** | 0.000000 |
| **Unreturned CONTRACT capital base** | 0.000000 |
| **Unpaid preference target** | 0.000000 |
| **Unpaid catch-up target, not guaranteed payable** | 1.717195 |
| **Net investor DPI on ACTUAL paid-in** | 1.262477 |

A baseline LP 68.17375584/GP 1.82624416, net 1.26247696; B baseline LP 65/GP 5, net 1.203703704. All actual investor contributions 54 stay in denominator in BOTH. B fee-excluded contractual base 45 is not actual investor paid-in. No NAV; TVPI equals DPI in this fictional terminal case. No universal preferred return, carry or fee coverage rule.

# Contract B | Cash-capped full GP catch-up

Authored conditional arithmetic. Millions except labeled ratios or separate rupee review. Not an actual entitlement, accounting statement or investment decision.

| | |
|---|---|
| **Stipulated return/preference/carry capital base** | 45.000000 |
| **Capital actually returned under this contract** | 45.000000 |
| **Cash after returned capital** | 25.000000 |
| **Compound preference target on stipulated base** | 11.811463 |
| **Preference actually paid** | 11.811463 |
| **Cash after preference** | 13.188537 |
| **Full GP catch-up target** | 2.952866 |
| **Cash-capped GP catch-up paid** | 2.952866 |
| **Remaining cash** | 10.235671 |
| **LP residual share** | 8.188537 |
| **GP residual share** | 2.047134 |
| **Total LP distribution** | 65.000000 |
| **Total GP carry distribution** | 5.000000 |
| **Cash less LP and GP, must be zero** | 0.000000 |
| **Unreturned CONTRACT capital base** | 0.000000 |
| **Unpaid preference target** | 0.000000 |
| **Unpaid catch-up target, not guaranteed payable** | 0.000000 |
| **Net investor DPI on ACTUAL paid-in** | 1.203704 |

A baseline LP 68.17375584/GP 1.82624416, net 1.26247696; B baseline LP 65/GP 5, net 1.203703704. All actual investor contributions 54 stay in denominator in BOTH. B fee-excluded contractual base 45 is not actual investor paid-in. No NAV; TVPI equals DPI in this fictional terminal case. No universal preferred return, carry or fee coverage rule.

# Compare | Same investor, different stipulated clause

Authored conditional arithmetic. Millions except labeled ratios or separate rupee review. Not an actual entitlement, accounting statement or investment decision.

| | |
|---|---|
| **Undrawn commitment** | 6.000000 |
| **Actual contribution reconciliation, must be zero** | 0.000000 |
| **A net investor multiple** | 1.262477 |
| **B net investor multiple** | 1.203704 |
| **LP A minus B, not a universal advantage** | 3.173756 |
| **GP B minus A, same available cash** | 3.173756 |
| **A investor unrecovered contributions** | 0.000000 |
| **B investor unrecovered contributions** | 0.000000 |
| **B LP / fee-excluded base, NOT net investor multiple** | 1.444444 |

At baseline A-minus-B LP 3.17375584 and GP opposite 3.17375584. B 65/45=1.444444444 is the wrong investor denominator. At cash 30 investor shortfall 24 under both, while B contract-base shortfall 15; distributions may include profit yet still not recover all original contributions under stipulated B. No dated IRR computed.

# Cash grid | Compare A and B without inventing cash

Only cash changes by row. Shared paid-in, bases, preference, years and carry from Inputs. No forecast probabilities or signed payout instructions.

| Cash INPUT | A LP | A GP | B LP | B GP | A net DPI | B net DPI |
|---|---|---|---|---|---|---|
| 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 |
| 30.000000 | 30.000000 | 0.000000 | 30.000000 | 0.000000 | 0.555556 | 0.555556 |
| 45.000000 | 45.000000 | 0.000000 | 45.000000 | 0.000000 | 0.833333 | 0.833333 |
| 54.000000 | 54.000000 | 0.000000 | 54.000000 | 0.000000 | 1.000000 | 1.000000 |
| 70.000000 | 68.173756 | 1.826244 | 65.000000 | 5.000000 | 1.262477 | 1.203704 |
| 90.000000 | 82.800000 | 7.200000 | 81.000000 | 9.000000 | 1.533333 | 1.500000 |
| 120.000000 | 106.800000 | 13.200000 | 105.000000 | 15.000000 | 1.977778 | 1.944444 |

Cash 0/30 produces zero carry. Cash 70 leaves A partial catch-up but B full catch-up. Cash 90 gives A 82.8/7.2, B 81/9. Rows are independent hypothetical endpoints. No fee deducted a second time; contractual preference is priority, not cash guarantee.

# Reporting | Reconcile one simplified net NAV roll

Authored conditional arithmetic. Millions except labeled ratios or separate rupee review. Not an actual entitlement, accounting statement or investment decision.

| | |
|---|---|
| **Gross management fee less applied offset** | 1.500000 |
| **Total net fees and costs, no double count** | 3.000000 |
| **Net NAV before incremental carry expense** | 51.000000 |
| **Ending investor net NAV in this simplified toy** | 49.000000 |
| **NAV roll less ending NAV, must be zero** | 0.000000 |

Baseline net fee 1.5, total costs 3, pre-carry NAV 51, ending net NAV 49. Beginning NET NAV already includes earlier carry: deduct only stipulated incremental 2, not full historic balance. Carry here is a supplied expense, not calculated by either waterfall. Toy omits tax, transfers, in-kind, other income, paid carry/escrow and full ILPA classification. Signed NAV retained if inputs imply it; not a liability opinion.

# Review | Contribution after spend

Authored conditional arithmetic. Millions except labeled ratios or separate rupee review. Not an actual entitlement, accounting statement or investment decision.

| | |
|---|---|
| **Incremental contribution before spend, rupees** | 18000.000000 |
| **Contribution after incremental spend, rupees** | -2000.000000 |
| **Break-even incremental orders, continuous** | 166.666667 |
| **Shortfall to break-even orders; signed** | 16.666667 |

Baseline 18000 before spend, -2000 after spend, break-even 166.666667, shortfall 16.666667. Incremental orders are supplied, not causally estimated here. Price perception, attribution, cohort contribution, manager role and investor NAV each require their own evidence. No actual recommendation or spending action.

# Actual plan | Five deliberately blank rows

No actual clause, financial records, experiment, confidential references, permission, accepted owner or investment authority.

| Claim / entity | Source / cutoff | Clause / metric | Assumption / gap | Owner / acceptance | Permission / scope | Stop / next check |
|---|---|---|---|---|---|---|

Actual evidence remains blank. Source text is not an instruction to contact anyone or adopt a template. No payout, manager score, quote, commitment, account, experiment, learner testing, new spending or transfer. Fullsource/AV/native parity/independent learner/legal/tax/actual 10 remain open.

# Evidence | Reporting does not choose the contract

Seven URLs from three organizations. Association model/measurement/reporting, legal commentary and vendor explanation; not seven independent empirical studies.

| | |
|---|---|
| **New reporting sources** | https://ilpa.org/wp-content/uploads/2025/01/ILPA-Reporting-Template-v.-2.0-Suggested-Guidance.pdf \| Selected overview/objectives/conformity/estimates/optionality/footnotes/fee-allocation/FOF sections read, not full PDF; final FOF text truncates. https://ilpa.org/wp-content/uploads/2025/02/Reporting-Template-Definitions.pdf \| Selected investor NAV/contribution/distribution/management fee/internal-external expense and carry definitions, not full PDF. |
| **Listing and limits** | https://ilpa.org/resources-tools/resource-library/ilpa-reporting-template-v-2-0/ \| Complete returned listing. January 2025 materials; not an exhaustive latest-version search. Guidance reports negotiated cost treatment; it does not prescribe which expenses management fees cover or verify GP calculations. Toy is not modified or completed official ILPA template. |
| **Carry exposition reused** | https://thefundlawyer.cooley.com/primer-carried-interest-in-venture-capital-funds/ \| June 10, 2026 selected terminology/base/timing/preference/clawback/conclusion from D 145. Not tax 1061/waiver/securities sections or survey validation. https://carta.com/learn/private-funds/management/distribution-waterfall/ \| May 28, 2025 complete returned written article reused; not linked guide or images. |
| **Measurement reused** | https://ilpa.org/wp-content/uploads/2025/04/ILPA-Performance-Template-Definitions-Granular-Methodology-v1.1.pdf \| D 145 selected calls/commitments/net IRR/net TVPI/gross IRR/fund MOIC reused, not full PDF. Actual investor contributions include fees; contractual fee-excluded carry base cannot silently change them. |
| **Model is a comparison** | https://ilpa.org/wp-content/uploads/2020/07/ILPA-Model-Limited-Partnership-Agreement-WOF.pdf \| D 145 selected preference definition/14.3/14.7 reused, not full agreement/legal opinion. Model brackets 80%GP/20%LP catch-up; classroom A/B instead explicitly stipulate 100%GP catch-up. Model tax limits and clawback tests not implemented. |
| **Transfer and remaining scope** | D 141-146 source distinctions reused, not newly expanded chapters or source media. PSM perception not demand; attribution not causal lift; finite contribution not lifetime profit; net TVPI not cash DPI. No universal recycling band, bad-faith diagnosis or communication-causes-re-up claim. No full source/AV/native Excel-Sheets parity/independent learner/account/field/legal/tax/actual overall 10. |

# Failure log | Authored checks, not actual evidence

Populated after calculation. Not audited records, independent learners, legal review, causal evidence or a payout approval.

| | |
|---|---|
| **1** | PASS: 99 baseline formulas independently recomputed. |
| **2** | PASS: 26 changed input sets plus restored baseline. |
| **3** | PASS: 26 invalid inputs/2574 family-isolation checks. |
| **4** | PASS: 6 broken references/6 explicit checks. |
| **5** | PASS: 7 boundaries;zero paid-in/base,partial/full catch-up. |
| **6** | PASS: fund/reporting/geo/grid separate numeric gates. |
| **7** | PASS: actual paid-in denominator unchanged by contract B. |
| **8** | PASS: actual evidence/permission/accepted owner rows blank. |